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Trust tax, housing claims and talk of grocery price caps

A busy day in Parliament brought debate over tax on trusts, the housing effect of negative gearing changes, and a backbench idea to cap grocery prices, raising questions of equity, efficiency and competition.

WHAT HAPPENED

- The **ACTU** backed the planned **30% minimum tax on discretionary trusts**, due from **1 July 2028** and aimed at income-splitting by higher-income households.
- Assistant Treasurer Daniel Mulino claimed changes to **negative gearing and CGT** will help **75,000** more Australians buy a home.
- Ed Husic floated **price caps** on bread, milk and eggs; the government preferred the **Grocery Code of Conduct** and **ACCC** enforcement.
- The **ATO** extended credit-card tax payments to mid-2027 after a small-business backlash. Former Treasurer Peter Costello opposed any **GST** rise.

Price ceiling: a legal maximum price set below equilibrium. **Competition policy:** laws and regulators (ACCC) that promote rivalry between firms. **Progressive tax:** takes a higher share from higher incomes.

KEY NUMBERS

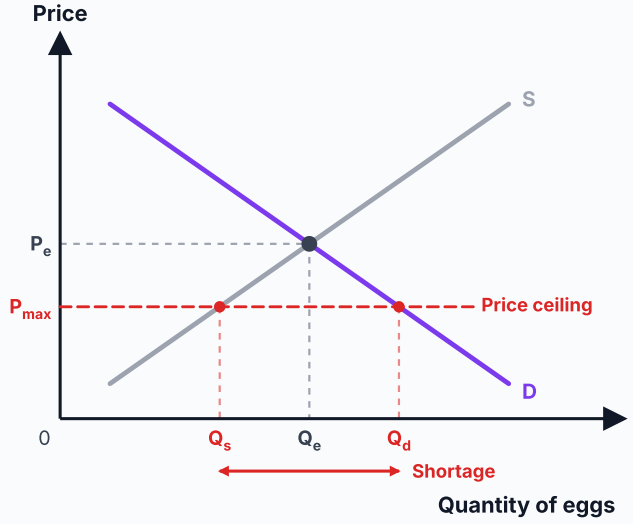
30%
minimum tax on trusts

2028
trust tax start (1 July)

75,000
more home buyers (govt claim)

3
staples floated for caps

DIAGRAM — Why economists are wary of grocery price caps



Conceptual diagram, not to scale

A cap at P_{max}, below the equilibrium price P_e, makes eggs cheaper for those who can buy them.

But producers only supply Q_s while consumers want Q_d, creating a **shortage**: empty shelves, queues or lower quality. Competition policy aims to lower prices by increasing rivalry *without* cutting supply.

Exam angle: compare **direct price controls** with **competition policy**, and link trust and housing tax changes to the **distribution of income and wealth**.

FLOW CHART — What can go wrong with a price cap

Cap set below equilibrium → Suppliers produce less → Shortages and queues → **Non-price rationing**

SYLLABUS LINK

Topic 4 – taxation reform and income distribution; competition policy; housing affordability.
Topic 3 – distribution of income and wealth.

TRY THIS

Explain how a minimum tax on trusts could affect the distribution of income. **(3 marks)**

Compare price caps with competition policy as ways to reduce grocery prices. **(6 marks)**

Sources: ABC Politics blog, 29 Oct: abc.net.au/news/2026-10-29/federal-politics-live-blog-oct-29/107320104 · ABC Markets blog, 29 Oct: abc.net.au/news/2026-10-29/asx-markets-business-live-news-29-october-2026/107321622